

Decoding Gen Z's Wallet Share

Gen Z prioritises informed choices with value for money taking precedence over brand loyalty. But they show subtle differences in spending behaviour depending on where they live

BY RICHA SHARMA

THEY OWN IPHONES, wear branded clothes, are confident about managing personal finances, but don't make uninformed decisions—the Gen Z generation believes in making informed choices and shunning debt as much as possible.

India's Gen Z in four metros—Delhi, Mumbai, Chennai and Kolkata—are not four versions of the same consumer; they are four separate demand clocks running at different speeds. The BT-PRICE Gen Z Consumption Behaviour Survey found that across all regions, Gen Z dreams converge around home ownership, career growth, and mobility, with over half aspiring to buy both a car and a house.

This generation relies on the use of artificial intelligence (AI)

for making investment decisions, has a higher risk appetite, and maintains a balanced portfolio with gold, mutual funds and fixed deposits making a major chunk of their portfolio.

“They come for investment advice fully prepared by doing a good analysis of their portfolio using AI. Investment advisors are like a second opinion for them, to see if the plan suggested by AI is correct or needs amendments,” says Upasana Mondal, a Securities and Exchange Board of India Registered Investment Advisor.

The BT-PRICE survey analyses the consumption behaviour, investment patterns, and spending priorities of the younger generation.

FINANCIAL FACTOR

On savings, they are disciplined, with 39% of the 4,311 people surveyed saving 20–40% of their

income. The survey found that lifestyle borrowing is moderate. Aspirational intent is strong, as 63% aspire to buy both a car and a house; however, timelines are different. Brand loyalty for this group is conditional, driven by a mix of quality (57%) and value for money (19%). Growth in the North for brands will depend on justifying their premium.

Mondal says that Gen Z is more willing to take risks than other age groups, but these risks are not impulsive. Instead, they are based on careful research and informed choices. In contrast, older generations are less likely to rely on AI for investment decisions and often place greater trust in traditional investment advisors.

“They don't take risks blindly and avoid frequent fund switches, realising the impact on capital gain taxation. They look for a long-term, well-balanced